

SEPTEMBER 2026

Report and recommendations
on operational issues relating
to the revision of the SFDR
Regulation:

concept of ‘credibility of
transition plans’ and main
adverse impacts (PAI)

The Autorité des Marchés Financiers (AMF) is presenting its recommendations on two operational issues related to the revision of the SFDR Regulation, (hereinafter referred to as the "SFDR 2.0 Regulation"): the credibility of transition plans and the consideration of principal adverse impact (PAI). This work makes a concrete contribution to the ongoing discussion on the evolution of the European sustainable finance framework. This report was prepared and drafted by members of the AMF Sustainable Finance Advisory Committee working group that brings together representatives from various financial market sectors, the civil society and academia. It has been approved by the AMF Board.

In March 2026, the Sustainable Finance Advisory Committee (CCFD) of the AMF launched a working group dedicated to the evolution of the European Regulation on sustainability-related disclosures in the financial services sector (SFDR). This regulation sets out the information that professionals in the financial sector must disclose about the consideration of sustainability issues in their financial products. This initiative is a continuation of the work already undertaken by the CCFD on this subject, in particular when analysing the European Commission's proposal, in November 2025, to revise the SFDR Regulation.

The working group brings together multiple stakeholders from the ESG ecosystem (see list in Appendix 1) and met between March and June 2026.

This report sets out the final conclusions on the lines of work on the credibility of credible transition plans for the 'Transition' category (Article 7 of SFDR 2.0) and on PAIs (Principal Adverse Impacts) for 'Sustainable' and 'Transition' categories. (Articles 9 and 7 of SFDR 2.0 respectively). It is primarily based on the European commission's proposal, even though, on the subject of PAIs, the draft report by rapporteur Gerbrandy of 26 April 2026 has been taken into account.

The working group focused on issues related to the 'Sustainable' and 'Transition' categories but it recalls that the ESG Basics category and its criteria remain no less important in the discussions on the SFDR 2.0 Regulation.

1. ISSUES RELATED TO THE DEFINITION AND ASSESSMENT OF THE ‘CREDIBLE TRANSITION PLANS’ CRITERION FOR FINANCIAL PRODUCTS FALLING UNDER THE SFDR 2.0 ‘TRANSITION’ CATEGORY

The working group has focused on defining and operationalising the concept of **the credibility of transition plans** proposed by the Commission under the SFDR 2.0 Regulation, addressing several aspects: existing definitions and lessons learnt regarding transition plans; the key criteria and indicators for assessing their credibility, in particular with reference to the CSRD framework and international standards (SBTi, CDP); the issue of whether or not mandatory alignment with the Paris Agreement’s objectives is required; and the possible extension of the criteria beyond climate issues.

RECOMMENDATIONS

ON THE CONCEPT OF CREDIBILITY	
The working group agrees that the term ‘credible’, as used in the texts, is insufficiently operational as it stands, and remains rarely used in the legal corpus ¹ . It should be accompanied by explicit common minimum criteria and refer to an associated framework or standard. Credibility implies evidence: it can only be assessed against a recognised authority or standard. It is essential, first and foremost, to define the criteria for this ‘credibility’, and a change of terminology to require a ‘robust’, ‘coherent’ or ‘high-quality’ transition plan would not resolve the fundamental issues.	
ON THE ESSENTIAL CRITERIA FOR A CREDIBLE TRANSITION PLAN	
Drawing on the practices of stakeholders and existing frameworks (see, in particular CCFD’s 2024 report on transition plans in ESRS format ²), the working group recommends that the credibility of a transition plan should be based, as a minimum, on the following five criteria:	
Recommendation No. 1 – Compliance with a recognised framework regarding compatibility with the Paris Agreement	Adherence to a recognised framework or standard that defines minimum requirements ensuring credibility (sectoral trajectories aligned with the Paris Agreement / the European Climate Law, SBTi, etc.) and whose correct application has been audited . This criterion ensures a common methodological approach without imposing a single, exhaustive framework of indicators and thresholds common to all investment universes, thereby ensuring a pragmatic and flexible implementation;
Recommendation No. 2 – Existence of transparent reduction targets	GHG emission reduction targets, expressed in terms of intensity (for financial firms – relative to the firm’s own targets) or in absolute terms, consistent with the firm’s financial and environmental objectives and its sector (see the distinction made by the CSRD regarding financial firms);
Recommendation No. 3 – Consistency of retrospective and projected trajectories with decarbonisation targets relative to the date used as the starting point for the reduction targets	Consistency between past and future performance on decarbonisation pathways that are compatible with the objectives of international agreements, with particular attention paid to the backward-looking approach , as actions already undertaken may be regarded as factors contributing to credibility;
Recommendation No. 4 – Actions and financial resources allocated to achieving the targets	The past trajectory and future targets must be directly linked to the measures put in place and planned , and supported by concrete evidence (including actions implemented, associated

¹ https://www.ngfs.net/system/files/import/ngfs/media/2024/04/17/ngfs_credible_transition_plans.pdf

² <https://www.amf-france.org/sites/institutionnel/files/private/2024-02/rendre-compte-de-son-plan-de-transition-au-format-esrs.pdf>

	funding, and the incorporation of targets into governance, for example through financial consequences for failing to meet targets, independent third-party verification, etc.).
Recommendation No. 5 – Disclosure of exposures to high-impact sectors and fossil fuels	Transparency regarding the company’s activities relating to sectors with a high climate impact or linked to fossil fuels, based on the European classification of economic activities (NACE). This disclosure may take the form of an indicator such as the proportion of CapEx or turnover derived from such activities, in particular with reference to ESRS data point E1-1 §16f (<i>“significant CapEx amounts invested during the reporting period related to coal, oil and gas-related economic activities”</i>). This criterion enables an assessment of the consistency between the company’s stated transition commitments and its actual exposure to the most carbon-intensive activities.
ON THE CONNECTION WITH THE CSRD’S ESRS	
Recommendation No. 6	The working group recommends that the credibility criteria be based, in particular, on indicators derived from the revised ESRS, in the interests of regulatory consistency for companies within the new scope of the CSRD. However, mere compliance with the CSRD’s requirements is insufficient to guarantee the credibility of a transition plan: the directive aims to ensure transparency in disclosure, not the intrinsic quality of the plan.
Recommendation No. 7	The detailed implications and indicators associated with these criteria (types of framework and benchmark against which to align, threshold levels adopted, and alignment of the target with the historical trajectory) remain to be defined in the working group’s subsequent discussions in order to inform Level 2 discussions.

In addition to the above recommendations, several issues were addressed without reaching a consensus. It is, however, worth noting the reflections and viewpoints of the working group members on these key issues:

1.1. ON THE MANDATORY NATURE AND SCOPE OF ALIGNMENT WITH THE PARIS AGREEMENT

Whilst a consensus was reached that the first credibility criterion should refer to compatibility with the Paris Agreement (see Recommendation No. 1), the question of **whether such alignment should be strictly mandatory and universal was, however, a point of disagreement within the working group.** Some members felt that strict alignment with the Paris Agreement could exclude sectors of greater social benefit, or that it would be difficult to enforce at this stage, as not all the relevant methodologies have yet been recognised by the EU.

1.2. ON EXTENDING THE CRITERIA BEYOND CLIMATE, PARTICULARLY TO BIODIVERSITY OR SOCIAL ISSUES

There is a consensus that climate must be the priority benchmark to be incorporated. The WG, however, adopted a cautious stance regarding biodiversity, as the relevant tools are still considered to be insufficiently developed. Social issues were raised, but only from the perspective of a just transition.

1.3. ON VERIFICATION BY AN EXTERNAL THIRD PARTY

Members emphasised the **added value of verification by an external third party to ensure the credibility of a transition plan**, but the question of which authority should assume this role remained unresolved. It was noted that auditors' role is limited to verifying transparency and compliance with a framework, and does not extend to assessing the intrinsic quality of the plan. Nor does the AMF have a mandate to assess this; rather, its role is to ensure that investors are well-informed and understand the criteria by clarifying the technical implementation procedures and supervising their application.

1.4. ON THE INCLUSION OF SCOPE 3 IN DECARBONISATION TARGETS

The working group agrees on the **need to include Scope 3 by default in decarbonisation targets, whilst recognising that it differs in nature from Scopes 1 and 2** in terms of **the quality of available data, the scope of responsibility and the levers for action**. Distinctions must be made in this regard: on the one hand, between upstream Scope 3 (emissions linked to the supply chain, over which the company has levers of influence) and downstream Scope 3; and on the other hand, within downstream Scope 3, between emissions falling under the company's direct responsibility and those over which it has no control. The predominance of Scope 3 in the carbon footprints of many sectors and the existence of available decarbonisation levers therefore justify its inclusion, but the associated requirements must take account of these distinctions and the varying quality of reporting across the relevant emission categories.

2. PROPOSAL FOR MANDATORY PAI (PRINCIPAL ADVERSE IMPACTS) FOR 'SUSTAINABLE' AND 'TRANSITION' CATEGORIES

The working group examined the role and structure of negative impact indicators (PAIs) in the SFDR 2.0 Regulation, addressing regulatory design choices. For the record, the Commission proposes mandatory disclosure of PAIs for products falling within the transition and sustainable categories, based on an indicative Level 2 list. Conversely, the ECON rapporteur's report envisages several types of PAIs: mandatory, subject to a materiality threshold, and optional.

The working group examined the appropriateness of making certain PAI mandatory depending on product categories, the advisability of establishing a minimum set of indicators, a possible hierarchy between essential and secondary indicators, and the coordination required with data from the CSRD (including the VSME framework for SMEs).

As a reminder, we are referring here to PAI *indicators* – **specific quantitative indicators** defined in the SFDR RTS (Appndix I of the Delegated Regulation) to **measure and report** the negative impacts of the PAI framework as a whole, which identifies the **main negative effects** that investment (or advisory) decisions have on sustainability factors (environment, social issues, human rights, etc.).

RECOMMENDATIONS

Recommendation No. 8	Retain mandatory product-level PAI at Level 2 for the ‘Sustainable’ and ‘Transition’ categories, in the form of a minimal base for which Appendix 1 could serve as a basis , by rethinking the indicators as a whole rather than simply ‘cherry-picking’ from the current list — in particular to address the shortcomings identified (abstract aggregation of physical data specific to each company, issues regarding the scope of interest).
Recommendation No. 9	Request an impact assessment from the European Commission on the PAI envisaged at Level 2 , in order to inform the design of future indicators in light of the limitations of the current framework and to avoid repeating the shortcomings currently identified by financial actors.
Recommendation No. 10	Aggregate PAI indicators at portfolio level where possible. As PAI disclosure is carried out at product level in accordance with the SFDR 2.0 framework, the working group recommends that this aggregated disclosure be supplemented by an analysis of impacts at the level of the investee companies where possible , to enable the portfolio management company to explain and contextualise the data. For <i>private equity</i> funds and investment lines representing significant exposure, the portfolio management company would be encouraged to supplement the consolidated indicators with a qualitative explanation of the positions.
Recommendation No. 11	Establish a list of PAI indicators consistent with the ESRS data points and with the exclusion policies adopted for the various SFDR categories. It would be redundant to make PAI mandatory for exposures already covered by an exclusion policy applicable to the category in question, provided that the thresholds triggering the exclusion and the indicator are functionally equivalent. The working group calls for vigilance on this point: a binary exclusion does not generate any exposure data and does not allow its effectiveness to be verified over time.
Recommendation No. 12	Remove the framework of optional PAI. In line with the decision to maintain a limited number of indicators, it would be up to the portfolio management companies to determine, based on the characteristics of their products, which additional indicators would be relevant.
Recommendation No. 13	Adopt the principle of mandatory sector-specific PAI when a portfolio allocates a significant proportion of its investments to sectors with a high climate impact (threshold to be defined at Level 2). An example of such sector-specific PAI is provided in Appendix 2. The working group nevertheless highlights the operational difficulties identified: the burden associated with cross-referencing tables with NACE codes, the risk of confusing investors in the event of case-by-case reporting, and the unavailability of certain data in standard databases.

Recommendation No. 14

Adopt a limited core set of mandatory PAI requirements applicable to funds in the ‘Sustainable’ and ‘Transition’ categories, comprising a restricted common core of PAI requirements and a sector-specific PAI applicable when there is significant exposure to high climate impact sectors. There are 13 PAI requirements (5 mandatory PAI requirements and 8 sector-specific mandatory PAI requirements), which are listed in Appendix 2.

In addition to the above recommendations, the working group addressed several other issues:

2.1. ON THE GRANULARITY OF INDICATORS: A LINE-BY-LINE APPROACH VERSUS CONSOLIDATION AT PORTFOLIO LEVEL

The discussions highlighted a tension between two ways of interpreting the PAI. For positions held directly in in-house funds, a line-by-line approach is possible and is already incorporated into ESG methodologies. For diversified portfolios and external funds, the use of aggregated indicators at portfolio level is necessary, requiring a degree of flexibility. The case of funds of funds was identified as a structural issue extending beyond the scope of the SFDR, which would require a dedicated working group bringing together insurers and management companies. The working group considered that few ESG indicators are needed and that these must necessarily be consolidable at portfolio level, whilst allowing for further disaggregation to analyse trends over time.

2.2. ON METHODOLOGICAL CHALLENGES

Several key methodological challenges have been identified, particularly regarding indicators relating to carbon emissions and water stress. **With regard to carbon emissions, the year-on-year variation in the financial weighting attributed to a company makes it difficult to interpret trends.** It was proposed that the consolidated indicators be accompanied by an analysis of variability (excluding changes in scope or methodology), as well as an indicator of the proportion of companies in the portfolio that have actually reduced their emissions.

2.3. ON THE MATERIALITY OF PAI AND THE SECTOR-SPECIFIC NATURE OF PAI

The requirement to report on PAI considered material to the product, in relation to the portfolio, was raised. The working group’s attention was, however, drawn to the complexity of the materiality analysis required, the difficulty of auditing it, the risk of greenwashing, and the fact that the disclosure of non-material information may also be legitimate or requested by investors.

One member also proposed an alternative approach which, rather than adding a list of sector-specific indicators, **would involve tracking changes in the product’s carbon intensity by cross-referencing it with year-on-year changes in sectoral exposure**, in order to provide a clear account of the financial product’s overall trajectory and its determining factors.

2.4. ON INTEROPERABILITY WITH THE CSRD AND THE ESRS

The Working Group emphasised the need to ensure the interoperability of PAI with the CSRD and to align the indicators as closely as possible with ESRS data points, in order to enhance data reliability and limit reliance on estimates from ESG data providers. The link between PAI and ESRS must, however, take into account the fact that not all entities reporting these PAI will fall within the scope of the CSRD.

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The secretariat was held by the Sustainable Finance Unit of the AMF, also handling the secretariat for the CCFD.

() reports a member of the working group designated by the CCFD member and belonging to the same entity, due to the technical nature of the discussions.*